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UNITED STATES BANKRUPTCY COURT

NORTHERN DISTRICT OF CALIFORNIA

SAN FRANCISCO DIVISION

In re:
THE ROMAN CATHOLIC ARCHBISHOP OF SAN FRANCISCO,
Debtor and Debtor in Possession.

APPALACHIAN INSURANCE COMPANY,
Plaintiff,

v.

THE ROMAN CATHOLIC ARCHBISHOP OF SAN FRANCISCO, a corporation sole, and DOES 1 through 50;
Defendants.

Case No. 23-30564
Chapter 11
Hon. Dennis Montali
Adversary Case No. _____

APPALACHIAN INSURANCE COMPANY'S COMPLAINT FOR DECLARATORY JUDGMENT AND EQUITABLE REIMBURSEMENT AND DEMAND FOR JURY TRIAL

DEMAND FOR JURY TRIAL

Plaintiff Appalachian Insurance Company ("Plaintiff" or "Appalachian") brings this Complaint for Declaratory Relief in its favor and against Defendant, The Roman Catholic Archbishop of San Francisco ("RCASF" or the "Archdiocese"), and in support of the Complaint alleges as follows.

NATURE OF THE ACTION

1. The Archdiocese filed a voluntary petition with this Court under chapter 11 of the Bankruptcy Code on August 21, 2023 (the "Petition Date"). This Bankruptcy Case is pending before the Bankruptcy Court for the Northern District of California (the "Bankruptcy Court"). [Main Case, ECF No. 1.]

2. The United States Trustee for Region 17 appointed the Committee on September 1, 2023, pursuant to 11 U.S.C. § 1102. [Main Case, ECF No. 58.]

3. In October 2019, California enacted AB 218 (the "CVA"), amending Cal. Civ. Proc. Code § 340.1 and creating a three-year "lookback window" (2020–2022) for previously time-barred childhood sexual assault claims.

4. During the CVA's "lookback window," approximately 541 Claimants (the "Claimants") filed civil actions against the RCASF (the "Underlying Claims"). Along with other Northern California clergy cases naming other defendants, those cases have all, or virtually all, been coordinated into a proceeding captioned In re Northern California Clergy Cases, Judicial Council Coordination Proceeding ("JCCP") No. 5108 in the Superior Court of California, County of Alameda.

5. The Underlying Claims allege that the RCASF knowingly permitted, concealed, and reassigned clergy accused of sexual abuse over decades, consistent with findings and allegations made nationwide and worldwide concerning similar conduct within Catholic institutions.

6. Specifically, the Claimants allege that for decades the Archdiocese permitted, denied, and concealed the sexual abuse by priests and others employed by the RCASF. The Underlying Claims also allege that the claimants sustained childhood sexual abuse committed by priests and/or others who were employed by or affiliated with the RCASF.

7. The Claimants also allege in the Underlying Claims that the Archdiocese shuffled abusers from parish to parish and archdiocese to archdiocese to keep the abuse (both generally and specifically) secret.

8. The pattern of abuse alleged in the Underlying Claims is consistent with a nationwide pattern that has emerged in the Catholic Church as a whole and its Archdioceses and parishes throughout the United States as well as around the world. Grand juries, convened across this country, have published reports detailing the culture of abuse permeating the Catholic Church.

9. The RCASF, together with affiliated parishes and schools under its control (sometimes referred to herein as the "Affiliates"), have tendered more than 125 of the Underlying Claims to Appalachian (the "Appalachian Claims"), seeking coverage from Appalachian under one or more of the following commercial excess liability policies issued by Appalachian to the RCASF: (1) policy number 71968 (effective for the period of July 8, 1975 to July 8, 1976), (2) policy number 72387 (effective for the period of July 8, 1976 to July 8, 1977) and (3) policy number 72547 (effective for the policy period of July 8, 1977 to July 8, 1978) (collectively, the "Excess Policies").

10. The Appalachian Claims include the two claims which were recently settled and subject to the Court's Order Granting Debtor's Motion to Approve Compromise and Settlement Agreement with John SF-1 Doe and John Doe SF-1013 (the "Settlement Order"). [Main Case, ECF No. 1672.]

11. Appalachian contends the Excess Policies do not afford coverage to RCASF for the Appalachian Claims. The specific bases for this contention include, but are not limited to:

(a) That the Appalachian Claims arising from allegations of abuse by Father Joseph Pritchard (the "Appalachian Pritchard Claims") are not covered in light of a 2005 jury verdict, which found that "the Archbishop of San Francisco, by December 31, 1973, kn[e]w or ha[d] reason to know, or was . . . otherwise on notice, that Father Joseph Pritchard had committed unlawful sexual conduct";

(b) That settlements in 2005 between and including the RCASF and Appalachian stemming from an earlier litigation (Clergy III, JCCP 4359) bar coverage under the Excess Policies for certain claims brought by one or more of the Claimants;

(c) That one or more of the Appalachian Claims, including but not limited to the Appalachian Pritchard Claims, were not caused by an "occurrence" as defined in the Excess Policies;

(d) That one or more of the Appalachian Claims, including but not limited to the Appalachian Pritchard Claims, allege personal injury and/or personal injury liability not covered by the Excess Policies;

(e) That one or more of the Appalachian Claims, including but not limited to the Appalachian Pritchard Claims, allege personal injury occurring outside the applicable policy periods for the Excess Policies;

(f) That the limits of liability of the policies underlying the Excess Policies have not been exhausted; and

(g) That for one or more of the Appalachian Claims, the RCASF has not complied with the terms and conditions of the Excess Policies.

12. There now exists an actual, justiciable controversy between Appalachian and the Archdiocese concerning coverage under the Excess Policies. Appalachian seeks a declaration that it has no obligation to afford coverage under the Excess Policies for the Appalachian Claims, or any other similar sexual abuse or abuse claims against the RCASF or any of the Affiliates that claim insured status under the Excess Policies for the reasons stated herein.

13. In addition to the disputes described above, certain claims arising from alleged abuse by Father Joseph Pritchard, including the JOHN SF-1 DOE action (Case No. CGC-20-584162) and the JOHN DOE SF 1013 action (Case No. CGC-20-583648) (together, the "Doe Actions"), have been resolved through settlement approved by the Bankruptcy Court in the Settlement Order. Appalachian contributed to the settlement of the Doe Actions subject to an

express reservation of rights, including its rights to seek reimbursement of amounts paid for claims that are not covered under the Excess Policies.

14. Appalachian contends that the Doe Actions are not covered under the Excess Policies. Accordingly, the Archdiocese has been unjustly enriched at Appalachian's expense.

JURISDICTION AND VENUE

15. This Court has jurisdiction over this adversary proceeding pursuant to 28 U.S.C. §§ 157 and 1334.

16. The Debtor's Chapter 11 Case No. 23-30564 is currently pending in the United States Bankruptcy Court for the Northern District of California.

17. This adversary proceeding is a non-core proceeding. Plaintiff does not consent to entry of a final order or judgment by the Bankruptcy Court in this matter.

18. Venue is proper in this district under 28 U.S.C. § 1409(a) because the bankruptcy case is pending in this district.

19. The declaratory relief requested herein is proper under 28 U.S.C. §§ 2201-2202 (Declaratory Judgment Act) because there now exists an actual, justiciable controversy between Appalachian and the Archdiocese. Additionally, this Court has original jurisdiction under 28 U.S.C. § 1332 in that it is a civil action between citizens of different states in which the matter in controversy exceeds, exclusive of costs and interest, seventy-five thousand dollars.

THE PARTIES

20. Appalachian Insurance Company (formerly known as Appalachian Insurance Company of Providence (both collectively referred to herein for all relevant purposes as "Appalachian")) is a corporation organized under the laws of the State of Rhode Island, with its principal place of business in the State of Rhode Island.

21. Defendant The Roman Catholic Archbishop of San Francisco ("RCASF" or the "Archdiocese") is a corporation sole established by the Vatican in or about 1853, with its principal place of business in San Francisco, California. The RCASF is made up of three counties: San Francisco County, Marin County, and San Mateo County. The Archdiocese of San Francisco controls and operates approximately 88 parishes, 120 schools, and one (1) seminary. The RCASF

included The Roman Catholic Bishop of Oakland until its separation in or about January 13, 1962, The Roman Catholic Bishop of Santa Rosa until its separation in or about January 13, 1962, and The Roman Catholic Bishop of San Jose until its separation in or about 1981.

22. Appalachian is not in possession of the true names and capacities of each of the defendants designated in this complaint as Does 1 through 50. Appalachian is informed and believes and, on that basis, alleges that each of the defendants sued as Does 1 through 50 is in some manner interested in the controversy alleged in this complaint. Upon learning the true name and capacity of each or any of the Doe defendants, Appalachian will amend this complaint accordingly.

23. Upon information and belief, at all times relevant hereto each of the defendants, including without limitation Does 1 through 50, was the agent, affiliate, officer, director, manager, principal, alter-ego or employee of the other defendants and was at all times acting within the scope of such agency, affiliation, alter-ego relationship, or employment and actively participated in, or subsequently ratified and adopted, or both, each and all of the acts or conduct alleged herein, with full knowledge of all the facts and circumstances.

FACTUAL ALLEGATIONS

A. Appalachian's Excess Policies

24. Appalachian issued the three Excess Policies to RCASF as follows:

(a) Policy number 71968 effective for the period July 8, 1975 to July 8, 1976;

(b) Policy number 72387 effective for the period July 8, 1976 to July 8, 1977; and

(c) Policy number 72547 effective for the period July 8, 1977 to July 8, 1978.

25. The Excess Policies provide coverage only pursuant to their terms, definitions, conditions, exclusions, and endorsements contained within each policy.

26. The Excess Policies afford coverage excess of scheduled underlying insurance.

27. Under the terms, conditions, and provisions of the Excess Policies, the Excess Policies may not be triggered unless and until all applicable underlying or other available insurance is exhausted.

FIRST CAUSE OF ACTION

(Declaratory Judgment – No Duty to Defend or Indemnify Underlying Claims Alleging Abuse by Father Joseph Pritchard)

28. Appalachian incorporates by reference all preceding paragraphs as if fully set forth herein.

29. Pursuant to 28 U.S.C. § 2201, this Court may declare the rights and obligations of the parties as they relate to the Excess Policies because an actual controversy exists.

30. An actual controversy exists herein between Plaintiff and the Archdiocese regarding whether Appalachian has any obligation to defend and/or indemnify the Archdiocese for the Appalachian Pritchard Claims.

PRAYER FOR RELIEF

31. WHEREFORE, Plaintiff Appalachian respectfully requests that the Court enter judgment:

(a) declaring that Appalachian has no obligation under the Excess Policies to defend and/or indemnify the Archdiocese and/or the Affiliates for the Appalachian Pritchard Claims;

(b) declaring that Appalachian has no duty to defend or indemnify the Archdiocese for any Appalachian Claims that were released by Release No. 1 or Release No. 2;

(c) declaring that Appalachian has no duty under the Excess Policies to defend or indemnify the Archdiocese because the Underlying Claims were not caused by an "occurrence" that resulted in personal injury during the policy period that was neither "expected nor intended" from the standpoint of the Archdiocese;

(d) declaring that Appalachian only has an obligation to afford coverage to the Archdiocese and the Affiliates, if at all, under the Excess Policies for that portion of any Appalachian Claims that alleges personal injury during the stated policy period and that it has no obligation to afford coverage for any

personal injury that occurred outside of the Excess Policies' stated policy period;

(e) declaring that unless and until the primary limit is exhausted in accordance with the policy's terms, and/or it is determined that the Underlying Policy does not cover the Appalachian Claims and the Excess Policies do, coverage under the Excess Policies does not attach for any of the Underlying Claims;

(f) declaring whether RCASF has breached any term or condition of the Excess Policies and therefore Appalachian has no obligation to defend or indemnify the RCASF;

(g) declaring that Appalachian is entitled to reimbursement for all amounts paid in connection with the settlement of the Doe Actions;

(h) ordering the Archdiocese to reimburse Appalachian all amounts paid by Appalachian in connection with the settlement of the Doe Actions;

(i) declaring that Appalachian has no duty under the Excess Policies or applicable law to defend or indemnify the Archdiocese for the John SF-1 Doe Action based on the preclusive effect of the 2005 jury verdict in Kavanaugh v. Roman Catholic Archbishop of San Francisco and Release No. 1;

(j) declaring that Appalachian has no duty under the Excess Policies or applicable law to defend or indemnify the Archdiocese for the John Doe SF 1013 Action based on the preclusive effect of the 2005 jury verdict in Kavanaugh v. Roman Catholic Archbishop of San Francisco;

(k) awarding prejudgment interest; and

(l) granting any other relief that the Court deems just and proper.

JURY DEMAND

32. Pursuant to Rule 38 of the Federal Rules of Civil Procedure, Appalachian hereby demands a jury trial on all the issues so triable.

Dated: June 26, 2026

Respectfully submitted,

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